calculates its inflation on two price indices i.e. the wholesale price index (WPI) and the consumer price index (CPI). While the WPI-inflation is used at the macrolevel policy making, the CPI-inflation is used for micro level analyses. The inflation at the WPI is the inflation of economy. Both the indices follow the 'point-to-point' method and may be shown in ***points*** (i.e digit) as well as in ***percentage*** relative to a particular ***base year***.

Wholesale Price Index

The first index number of wholesale prices commenced in India for the week January 10, 1942. It was having the base week ending August 19, 1939 = 100 which was published by the office of the Economic Adviser to the Government of India (Ministry of Industry)[37]. Independent India followed the same series with more number of commodities included in the index. Several changes regarding inclusion of commodities, assigning them the logical weights took place in the coming times including revisions in the ***base years*** for the WPI. The WPI base year has been revised five times till date. The base years are as given below:

(i) 1952–53 Base Year (112 Commodities) issued from June 1952.
(ii) 1961–62 Base Year (139 Commodities) issued from July 1969.
(iii) 1970–71 Base Year (360 Commodities) issued from January 1977.
(iv) 1981–82 Base Year (447 Commodities) issued from January 1989.
(v) 1993–94 Base Year (435 Commodities) issued from July, 1999.
(vi) 2004-05 Base Year (676 Commodities) released in September 2011.

New Series of WPI

With the purpose of making inflation data in India more transparent, updated and similar to the practices among most of the economies, a ***Working Group for Revision of WPI Number*** was set up under the Chairmanship of the Planning Commission member, Prof. Abhijit Sen. In light of the recommendations the Government recently announced the *New Series of Wholesale Price Index.*

Headline inflation in India is measured in terms of Wholesale Price Index (WPI) and the Office of the Economic Adviser, Department of Industrial